

U.S. DEPARTMENT OF AGRICULTURE
WASHINGTON, D.C. 20250

DEPARTMENTAL REGULATION	NUMBER: DR 2280-001
SUBJECT: Suspension and Debarment	DATE: September 7, 2022
OPI: Office of the Chief Financial Officer	EXPIRATION DATE: September 7, 2027

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1. PURPOSE

This Departmental Regulation (DR) establishes the United States Department of Agriculture's (USDA) suspension and debarment (S/D) guidance for nonprocurement and procurement programs and activities. It complies with [Title 2 of the Code of Federal](#)

Regulations (CFR) Part 180, *Office of Management and Budget (OMB) Guidelines to Agencies on Governmentwide Debarment and Suspension (Nonprocurement)*, adopted and supplemented by USDA at 2 CFR Part 417, *Nonprocurement Debarment and Suspension*, and with Federal Acquisition Regulation (FAR) Subpart 9.4, codified at 48 CFR Subpart 9.4, *Debarment, Suspension, and Ineligibility*, adopted and supplemented by USDA at 48 CFR Subpart 409.4, *Debarment, Suspension and Ineligibility* (hereinafter *FAR* and *Agriculture Acquisition Regulation (AGAR)* respectively).

2. SCOPE

This DR applies to all USDA Mission Areas, agencies, staff offices, employees, appointees, contractors, and others who work for or on behalf of USDA.

3. SPECIAL INSTRUCTIONS/CANCELLATIONS

- a. This directive supersedes DR 2280-001, *Suspension and Debarment*, dated January 16, 2013.
- b. This directive becomes effective as of the publication date and remains in effect until it is superseded or it expires.
- c. All USDA Mission Areas, agencies, and staff offices must align their S/D policies and guidance with this directive upon its publication.
- d. All USDA Mission Areas, agencies, and staff offices will implement S/D actions in accordance with the applicable nonprocurement or procurement regulations and with the procedures set forth in this DR to ensure that:
 - (1) Only presently responsible persons participate in USDA programs; and
 - (2) USDA only solicits offers from, awards contracts to, and consents to subcontracts with presently responsible entities.

4. BACKGROUND

- a. Suspensions and debarments are discretionary or statutory administrative actions taken by Federal agencies to protect the Government by excluding individuals and entities who are not presently responsible from participating in Federal programs or activities. These actions are not designed to be punitive in nature but are meant to ensure that the Federal Government only conducts business with presently responsible individuals or entities. S/D actions are reciprocal and thus applicable Governmentwide. Consequently, an individual or entity suspended or debarred by one Federal agency is

excluded from entering into procurement and covered nonprocurement transactions with all Federal agencies.

- b. The Secretary has established an S/D Council (“the Council”) to coordinate USDA efforts to ensure effective implementation of S/D procedures. The Council will meet quarterly, or as appropriate, to develop strategies and initiatives to effectively implement USDA’s S/D program. Mission Areas, agencies, and staff offices are required to report to the Council on their respective S/D activity. USDA’s Office of the Chief Financial Officer’s (OCFO) Transparency and Accountability Reporting Division (TARD) will capture a summarized S/D activity report on an OCFO restricted access intranet site, currently a restricted access OCFO information repository.

5. POLICY

- a. Nonprocurement S/D

[Executive Order \(EO\) 12549](#), *Debarment and Suspension*, mandates that Executive Departments and Agencies establish appropriate procedures to implement 2 CFR Part 180. USDA’s nonprocurement S/D regulations are promulgated in 2 CFR Part 417.

- b. Procurement S/D

[FAR 9.402\(e\)](#) mandates that Federal agencies establish appropriate procedures to implement FAR Subpart 9.4. USDA’s procurement S/D regulations are promulgated in the AGAR at [48 CFR Subpart 409.4](#).

- c. Reciprocity

Pursuant to [EO 12689](#), *Debarment and Suspension*, the suspension, debarment, or other exclusion of a participant in a nonprocurement program or activity under regulations issued under EO 12549, or in a procurement program or activity under regulations issued under FAR Subpart 9.4, will have reciprocal Governmentwide effect. That is, a person or entity that is suspended or debarred from nonprocurement programs or activities is also excluded from procurement programs or activities, and vice versa, across the Federal Government.

6. SUSPENSION AND DEBARMENT PROCEDURES

- a. Causes

- (1) Nonprocurement causes for suspension and debarment are listed in the following sections: [2 CFR § 180.700](#), *When may the suspending official issue a suspension*; [2 CFR § 180.800](#), *What are the causes for debarment*; and [2 CFR § 417.800](#), *What are the USDA causes for debarment*.

- (2) Procurement causes for suspension and debarment are listed in [FAR 9.407-2](#) and [FAR 9.406-2](#) respectively.
- (3) In addition to the causes for regulatory nonprocurement and procurement S/D actions discussed above, there are several statutory debarment provisions. S/D actions undertaken pursuant to these provisions are not reciprocal across the Federal Government. For reciprocity to occur, an agency must also undertake a regulatory nonprocurement or procurement suspension or debarment action in conjunction with the statutory suspension or debarment action.
- (a) Section 14211 of the *Food, Conservation, and Energy Act of 2008*, [Public Law \(P.L.\) 110-246](#); [7 United States Code \(U.S.C.\) § 2209j](#); [2 CFR § 417.865\(d\)](#), requires the Secretary to “permanently debar an individual, organization, corporation, or other entity convicted of a felony for knowingly defrauding the United States in connection with any program administered by the Department of Agriculture from any subsequent participation in Department of Agriculture programs” – both procurement and nonprocurement. Those debarred pursuant to this statutory provision are permanently excluded from participating in all USDA procurement and nonprocurement programs or activities, even those normally considered not covered transactions, with the only exception being that continued participation in domestic food assistance programs is allowed for those permanently debarred. A list of domestic food assistance programs is set forth in [2 CFR § 417.865\(d\)\(2\)](#). Unlike regulatory S/D actions which are discretionary, S/D actions under this statute are mandatory.
- (b) [16 U.S.C. § 620d\(d\)](#) provides that any person who violates [16 U.S.C. §§ 620-620j](#), or any regulation or contract issued under 16 U.S.C. §§ 620- 620j, may be debarred from entering into any contract for the purchase of unprocessed timber from Federal lands for a period of not more than 5 years. Such person shall also be precluded from taking delivery of Federal timber purchased by another party for the period of debarment.
- (c) [7 U.S.C. § 2021\(h\)](#) provides that the Department can immediately suspend a retail food store or wholesale food concern in the event of flagrant violations of the Supplemental Nutritional Assistance Program. This suspension may be taken before an administrative action to disqualify.
- (d) The *Consolidated Appropriations Act, 2020*, [P.L. 116-93](#), §§ 744 and 745 (December 20, 2019), as amended or as amended and subsequently enacted, is a mandatory statutory debarment provision included in annual appropriations acts. It prohibits using funds made available by any act to enter into contracts, memoranda of understanding, or cooperative agreements with, make grants to, or provide loans or loan guarantees to corporations that have been convicted of a felony within the preceding 24 months or have a fully adjudicated and remaining unpaid tax delinquency, unless a Federal agency considered

suspension or debarment and determined that such action was not necessary to protect the interests of the Government. When considering S/D actions, the S/D Official (SDO) must refer to the appropriations legislation in the year that corresponds to the proposed S/D action.

- (4) S/D actions can be taken against individuals with respect to nonprocurement transactions under a USDA program even if such action has been excluded from covered transaction status. (See [2 CFR 417.215\(c\)](#)).
- (5) Evidence of the existence of a potential cause for a nonprocurement or procurement suspension or debarment action may be discovered through sources including, but not limited to, the USDA Office of the Inspector General (OIG) or the Department of Justice (DOJ) investigations; civil or criminal court actions; hotline complaints; media reports; recommendations of the USDA Departmental Scientific Integrity Officer (DSIO) or Research Integrity Officer (RIO); USDA records and reviews of individuals or entities participating in USDA procurement and nonprocurement programs or activities; and records or reports from other Federal agencies. It should also be noted that while the quarterly OIG report and OIG investigations can be helpful tools to reveal potential causes for S/D actions, not all information contained in the OIG quarterly report nor every OIG investigation results in a potential cause for S/D actions.

b. Inquiry and Review

- (1) Whenever information about a potential cause for suspension or debarment becomes known, the concerned Mission Area, agency or staff office S/D personnel will conduct its own review. The concerned Mission Area, agency, or staff office may request OIG assistance when warranted. (See [DR 1700-002](#), *OIG Organization and Procedures*, Section 8c.) Nonprocurement Mission Area, agency, and staff office S/D personnel will forward the results of the inquiry to the Program Manager. Procurement Mission Area, agency, and staff office S/D personnel will forward the results of the inquiry to the Contracting Officer.
- (2) The Program Manager or Contracting Officer in collaboration with S/D Council Members, and with the Office of the General Counsel (OGC) when needed, will determine whether information obtained during the inquiry should be forwarded to the SDO for possible suspension or debarment action. If forwarding is appropriate, the Program Manager or Contracting Officer in collaboration with a S/D Council Member, will prepare the Referral Record and Referral Record Memorandum and submit it to the SDO for a decision. The Referral Record is used to establish the Administrative Record if the SDO determines that suspension or debarment is warranted. (See Appendix E, *Template: Nonprocurement Referral Record and Referral Record Memorandum* and Appendix G, *Template: Procurement Referral Record and Referral Record Memorandum*.)

- (3) The Referral Memorandum will address potential causes for S/D actions. This memorandum should summarize the history and background of the proposed action, state the period of suspension or debarment, and include supporting documentation. The memorandum may precede other recommendations such as show cause or pre-notice investigative letters.

c. Lead Agency Coordination

- (1) The purpose of lead agency coordination is to coordinate Governmentwide suspension and debarment actions across one or more Federal agencies. (See Section 6c(2) below.)
- (2) The Program Manager informs the nonprocurement S/D Coordinator, or the Contracting Officer informs the procurement S/D Coordinator, of a potential suspension or debarment action. The nonprocurement S/D Coordinator forwards excluded individual or entity identifying information; the reason for the proposed action; a due date when other USDA and Federal agencies can respond to the notice; and the Mission Area, agency, or staff office point(s) of contact concerning the action to the OCFO for lead agency coordination. Similarly, the procurement S/D Coordinator forwards the information to the Office of Contracting and Procurement (OCP).
- (3) The OCFO and the OCP coordinate with other Federal agencies through the Interagency Suspension and Debarment Committee ([ISDC](#)) to facilitate the sharing of suspension or debarment information and to prevent duplicative efforts should another Federal agency express an interest in or initiate an action against the same individual or entity. USDA and other interested Federal agencies will decide on the lead agency that will initiate and take responsibility for the suspension or debarment action.
- (4) In general, if more than one USDA Mission Area, agency, or staff office has an interest, lead agency may be designated by the Mission Area, agency, or staff office with the largest interest and/or award value with the individual(s) or entity(ies).
- (5) If the lead is assigned to the USDA Mission Area, agency, or staff office, the S/D Coordinator will coordinate with USDA stakeholders and with other interested Federal agencies and offices to share and obtain information and developments relevant to the action.
- (6) The lead agency, or the lead USDA Mission Area, agency, or staff office, acts on behalf of all Federal agencies and has a responsibility to keep other interested Federal agencies informed of significant developments. The other interested Federal agencies, in turn, may assist the lead agency by providing relevant information to enable the lead agency to effectively carry out its function.

d. Document Preparation

- (1) If the lead agency coordination notice does not generate a response from another Federal agency seeking lead (after 7 calendar days of review), or if the lead is assigned to the initiating USDA Mission Area, agency, or staff office, the Program Manager or Contracting Officer will prepare the Referral Record and Referral Record Memorandum used to establish an Administrative Record (see Appendices E and G) in consultation with OGC, when needed.
- (2) The Program Manager or Contracting Officer will forward the Referral Record to either the nonprocurement or procurement S/D Council Member and S/D Coordinator, as appropriate.

e. Decision-Making Process

- (1) The nonprocurement S/D Council Member consults with the OGC (for legal sufficiency) and the OIG (to ensure that the Referral Record will not interfere with any OIG investigative action). The Council Member sends the Referral Record to nonprocurement S/D personnel for review who assigns a case number unique to each respondent referenced in the Referral Record. This Referral Record may be used to establish an Administrative Record to be sent to the nonprocurement SDO for consideration. The SDO follows the procedures set forth in both 2 CFR Parts 180 and 417, Subparts G and H, in deciding, initiating, and finalizing the S/D exclusion action.
- (2) The procurement S/D Council Member consults with OGC (for legal sufficiency) and OIG (to ensure that the Referral Record will not interfere with any OIG investigative action). The Council Member sends the Referral Record to OCP S/D personnel for review who assigns a case number unique to each respondent referenced in the Referral Record. This Referral Record may be used to establish an Administrative Record to be sent to the procurement SDO for consideration. The SDO follows the procedures set forth in FAR Subpart 9.4 and AGAR Subpart 409.4 in deciding, initiating, and finalizing the S/D exclusion action.

7. DISQUALIFICATION

- a. USDA adopted OMB guidelines for nonprocurement suspension and debarment which includes [2 CFR § 180.45](#) *Do these guidelines cover persons who are disqualified, as well as those who are excluded from nonprocurement transactions* and [2 CFR Part 180, Subpart E, System for Award Management Exclusions](#). These sections state that in addition to the discretionary actions included in this Governmentwide system, agencies may add disqualified persons to the General Services Administration's (GSA) System for Award Management ([SAM](#)) Exclusions for disqualifications required by statute, executive order, or regulation. Because of USDA's adoption of 2 CFR Part 180, USDA disqualification actions may be included in GSA's SAM Exclusions database as

exclusion type Prohibition/Restriction, with a narrow explanation as to the scope of the prohibition or restriction and in accordance with Mission Area, agency, or staff office procedures. It is up to each Mission Area, agency, or staff office to promulgate regulations for the inclusion of program-specific disqualifications in SAM. Disqualifications do not have a Governmentwide or Departmentwide effect.

- b. Disqualification actions will be reported to the OCFO in the Mission Area, agency, or staff office's quarterly nonprocurement S/D report.

8. ROLES AND RESPONSIBILITIES

a. General

The following roles and responsibilities are applicable to both nonprocurement and procurement S/D actions.

(1) The General Counsel will:

- (a) Provide legal advice, when requested, to the Mission Area, agency, or staff office S/D personnel, Program Managers, Contracting Officers, S/D Council Members, S/D Coordinators, and SDOs;
- (b) Review proposed suspension or debarment or other exclusion action materials (e.g., Referral Records, Referral Memoranda, Decision Memoranda, Administrative Records) for legal sufficiency and inform SDOs of any legal risks; and
- (c) Assist the OIG, as necessary, with facilitating contact and coordination with the DOJ, the Assistant United States Attorney, or local prosecutors who may be handling a criminal or civil suit involving an individual or entity that is being considered for exclusion. Primary coordination is typically provided by the OIG.

(2) The Inspector General will:

- (a) Provide information to the Mission Areas, agencies, and staff offices about actions of individuals and entities that may form the basis for S/D actions. OIG components, including the Office of Investigations and the Office of Audits, will conduct work which generates information sometimes suitable for S/D referrals.
- (b) Provide a quarterly report to the OCFO containing updated information on OIG investigations and indictments (and other charging mechanisms comparable to indictments), convictions, and pre-trial diversions.

- (c) Facilitate contact and coordination with the DOJ, the Assistant United States Attorney, or local prosecutors who may be handling a criminal or civil suit involving an individual or entity that is being considered for suspension, debarment, or other exclusion. If an action would interfere with an ongoing investigation, the OIG will consider requesting that the Department defer the action or seek special protections against disclosure of sensitive information.
- (d) Remain involved in the S/D process until the case is resolved. OIG personnel, when needed, will attend S/D meetings and hearings, provide testimony and other information and evidence regarding their work, and generally assist the S/D personnel.

b. Nonprocurement

The following roles and responsibilities are applicable to nonprocurement S/D actions.

(1) Mission Area Agency Administrators and Staff Office Directors will:

- (a) Serve as SDOs;
- (b) Determine if a suspension or debarment action is warranted based on the Administrative Record;
- (c) Initiate suspension or debarment actions when warranted, taking into consideration consultations with the OGC, OIG, or DOJ regarding possible conflicts with ongoing civil or criminal investigations or litigation;
- (d) Impose suspension or debarment actions in accordance with the procedures set forth in 2 CFR Parts 180 and 417;
- (e) Ensure that S/D Coordinators, Program Managers, and all other designated Mission Area, agency, and staff office S/D personnel complete the S/D training available in [AgLearn](#). A certificate of completion (see Appendix H, *Template: Mission Area, Agency, Staff Office S/D Training Certificate of Completion*) must be provided to the OCFO by December 30 of each year. This training requirement is optional if completed in prior calendar years. However, adherence to applicable updates must occur;
- (f) Establish S/D guidance or instructions that implement the Department's policies and procedures and provide such guidance or instructions to the OCFO when established or modified. The guidance or instructions should include, but not be limited to:
 - 1 Controls and procedures to identify fraud and misconduct related to the Mission Area, agency, and staff office programs or activities;

- 2 An internal review plan for identifying cases to be referred for suspension or debarment actions; and
- 3 A training plan that:
 - a Identifies all Mission Area, agency, and staff office personnel required to take S/D training; and
 - b Ensures all designated personnel are made aware of and follow procedures pursuant to the Governmentwide S/D regulations and the Department's S/D directive(s).

(2) The Chief Financial Officer's Director of the TARD will:

- (a) Receive OIG quarterly reports containing updated information on OIG investigations and indictments (and other charging mechanisms comparable to indictments), convictions, and pre-trial diversions, and distribute to nonprocurement and procurement S/D Coordinators;
- (b) Receive the Nonprocurement SAM Memorandum (Appendix D, *Template: Nonprocurement SAM Memorandum*) from nonprocurement S/D Coordinators and enter S/D exclusions in the GSA SAM Exclusions database;
- (c) Receive outside party inquiries regarding individual or entity status in the GSA SAM Exclusions database and refer the outside party to the requisite Mission Area, agency, or staff office S/D Council Member or S/D Coordinator. Mission Area, agency, or staff office representatives delivering such responses should coordinate with the OGC as needed, to ensure that no deliberative process, attorney-client, privacy protected information, or attorney work product privileges are waived by sharing information with the outside party. Preventive measures must also be exercised to avoid improper disclosure of personally identifiable information as defined by the [Privacy Act](#) and related statutes.
- (d) Coordinate nonprocurement S/D issues within USDA and with other Federal agencies, including updating and maintaining USDA's supplemental nonprocurement S/D regulation in 2 CFR Part 417 in collaboration with the OGC; and
- (e) Act as USDA's nonprocurement point of contact (POC) for internal and external lead agency coordination. The OCFO will notify Federal and USDA Mission Area, agencies, and staff offices of pending suspension or debarment actions and coordinate responses with the ISDC.

- (3) Mission Area, Agency, and Staff Office S/D Council Members will:
- (a) Promote the requirements and purpose of the Governmentwide S/D regulations and direct their respective Mission Areas, agencies, or staff offices to reevaluate S/D processes, as necessary, to support efficient stewardship of Federal funds. Council Members will ensure that Departmental guidance to implement Governmentwide and USDA S/D regulations are met and will report Mission Area, agency, or staff office S/D activity at quarterly meetings held by the OCFO; and
 - (b) Send referrals to Mission Area, agency, or staff office S/D personnel who assigns a case number unique to each respondent, to create a Referral Record that may be used to establish an Administrative Record (if applicable) to be sent to the SDO for consideration, following consultation with the OGC (for its legal sufficiency) or the OIG (to ensure that the Referral Record will not interfere with any OIG investigative action) as appropriate. (See Section 6e.)
- (4) Mission Area, Agency, and Staff Office S/D Coordinators will:
- (a) Receive exclusion information from Program Managers in collaboration with S/D Council Members and forward to the OCFO for lead agency coordination when applicable;
 - (b) Receive and review OIG's quarterly report on the password protected S/D restricted access information repository maintained by OCFO which contains updated information on OIG investigations and indictments (and other charging mechanisms comparable to indictments), convictions, and pre-trial diversions, prepare applicable summaries and report to requisite Mission Area, agency, or staff office S/D Council Members, Program Managers and other designated Mission Area, agency, or staff office S/D personnel;
 - (c) Report fact-based S/D activity on the S/D restricted access information repository maintained by the OCFO, prepare applicable summaries, and report to requisite Mission Area, agency, or staff office S/D Council Members, Program Managers and other designated Mission Area, agency, or staff office S/D personnel;
 - (d) Share information and developments within USDA and other interested Federal agencies, as necessary, if lead agency coordination is assigned to the S/D Coordinator's Mission Area, agency, or staff office;
 - (e) Receive S/D information from the ISDC through the OCFO and distribute to Mission Area, agency, or staff office S/D Council Members, Program Managers, and other designated S/D personnel for lead agency coordination;

- (f) Review Referral Records, in collaboration with S/D Council Members, to establish applicable Administrative Records received from S/D Council Members and Program Managers, assign a Mission Area, agency, or staff office case number unique to each respondent, and forward, where appropriate, to the SDO for consideration;
 - (g) Send the Nonprocurement SAM Memorandum (see Appendix D) to the OCFO accompanied by the Notice of Suspension, Debarment, Disqualification or Voluntary Exclusion signed by the SDO. The SAM Memorandum should be sent to the OCFO after respondent(s) notification(s) about suspension, debarment, and disqualification decisions, or following the receipt of an administrative agreement or settlement agreement between the respondent and the SDO that includes a voluntary exclusion (See [2 CFR §§ 180.715](#), [180.805](#), [180.935](#), [417.935](#), [180.1020](#), [417.520](#), and [417.515](#));
 - (h) Provide the OCFO with the nonprocurement S/D report within 45 calendar days after a fiscal year (FY) quarter. S/D Council Members will use this information to brief the Council on Mission Area, agency, or staff office S/D activity during quarterly S/D meetings held by the OCFO; and
 - (i) Be the POC for outside party inquiries (e.g., banks, employers, or the general public) regarding individual or entity status in the GSA SAM Exclusions database. This includes verifying an identity match between the Mission Area, agency, or staff office excluded individuals or entities and the subject of the inquiry by the outside party. As needed, coordinate with the OGC when responding to outside inquiries to ensure that no deliberative process, attorney-client, or attorney work product privileges are waived by sharing information with the outside party. Preventive measures must also be exercised to avoid improper disclosure of personally identifiable information as defined by the *Privacy Act* and related statutes.
- (5) Mission Area, Agency, or Staff Office Program Managers, in collaboration with S/D Council Members (or other designated program personnel) will:
- (a) Ensure that the requirements in [2 CFR § 180.425](#) are met, and that the GSA SAM Exclusions database is checked when required to confirm that only presently responsible individuals or entities can participate in USDA nonprocurement covered transactions;
 - (b) Refer program violators, where appropriate, in any USDA program, to the S/D Coordinator for lead agency coordination, after confirming the existence of a possible cause for an exclusion action; and
 - (c) Prepare the Nonprocurement Referral Record and Referral Memorandum in collaboration with an S/D Coordinator (see Appendix E, *Template: Nonprocurement Referral Record and Referral Record Memorandum*), and in

consultation with the OIG and the OGC, if needed, to establish an Administrative Record, if applicable, and forward to the S/D Council Member when recommending the initiation of an exclusion action to a SDO.

(6) Mission Area, Agency, or Staff Office S/D Personnel will:

- (a) In coordination with the OIG, where applicable, review and confirm potential causes for suspension or debarment actions obtained from external sources (e.g., OIG, other Federal agencies, hotline complaints, media) or through internal program operations (e.g., review of program participants and/or recipients), and report findings to their S/D Council Member and Program Manager; and
- (b) Assist the S/D Council Member and Program Manager in any S/D-related program issues.

c. Procurement

The following roles and responsibilities are applicable to procurement S/D actions:

(1) The OCP S/D Senior Procurement Official will:

- (a) Receive Administrative Records from the OCP staff and determine whether a suspension or debarment action is in the Government's interest;
- (b) Initiate suspension or debarment actions when warranted, taking into consideration any advice received from the OGC, OIG, or DOJ regarding possible conflicts with ongoing civil or criminal investigations or litigation;
- (c) Impose suspension or debarment actions in accordance with the procedures set forth in FAR Subpart 9.4 and AGAR Subpart 409.4; and
- (d) Ensure that all contracting officers and procurement S/D personnel complete the S/D training available in [AgLearn](#). A certificate of completion (see Appendix H) will be provided to the OCFO by December 30 of each calendar year. This training requirement is optional if completed in prior calendar years. However, adherence to applicable updates must occur.

(2) The OCP Senior Procurement Official will:

- (a) Review the Referral Records received from the S/D Coordinators, assign a Mission Area, agency, or staff office case number unique to each respondent, and forward applicable Administrative Records to the SDO for consideration;
- (b) Enter Show Cause/Pre-notice investigative letter language;

- (c) Enter suspended or debarred contractors' information in the GSA SAM Exclusions database;
 - (d) Respond to outside party inquiries regarding a contractor's status in the GSA SAM Exclusions database. As needed, coordinate with the OGC when responding to outside inquiries to ensure that no deliberative process, attorney-client, privacy protected information, or attorney work product privileges are waived by sharing information with the outside party;
 - (e) Coordinate procurement S/D issues within USDA and with other Federal agencies. This includes updating and maintaining USDA's supplemental procurement S/D regulation in AGAR Subpart 409.4;
 - (f) Act as USDA's procurement POC for lead agency coordination; and
 - (g) Submit quarterly reports to the OCFO detailing the Department's procurement S/D activity 45 calendar days after the FY quarter.
- (3) The OCP's S/D Council Member will:
- (a) Promote the requirements and purpose of the Governmentwide S/D regulations and direct their respective Mission Areas, agencies, or staff offices to reevaluate S/D processes, as necessary, to support efficient stewardship of Federal funds. Council Members will ensure that Departmental guidance to implement Governmentwide and USDA S/D regulations are met and will report Mission Area, agency, or staff office S/D activity at quarterly meetings held by the OCFO; and
 - (b) Send referrals to Mission Area, agency, or staff office S/D personnel who assigns an agency case number unique to each respondent to create a Referral Record and Referral Memorandum. The Referral Record and Referral Memorandum may be used to establish an Administrative Record (if applicable) for submission to the SDO for consideration, following consultation with the OGC (for its legal sufficiency) or the OIG (to ensure that the Referral Record will not interfere with any OIG investigative action) as appropriate. (See Section 6e.)
- (4) Mission Area Senior Contractor Officials will:
- (a) Receive suspension or debarment information from contracting officers and forward to the OCP for lead agency coordination;
 - (b) Receive OIG's quarterly report containing updated information on OIG investigations and indictments (and other charging mechanisms comparable to indictments), convictions, and pre-trial diversions from the OCFO and disseminate to all contracting officers and appropriate agency S/D personnel;

- (c) Review Referral Records received from contracting officers and forward to the OCP;
 - (d) Share information and developments within USDA and other interested Federal agencies, as necessary, if lead agency coordination is assigned to the S/D Coordinator's Mission Area, agency, or staff office;
 - (e) Receive suspension or debarment information from the ISDC through the OCP and disseminate to contracting officers and Mission Area, agency, and staff office S/D personnel; and
 - (f) Send the Procurement SAM Memorandum (see Appendix F) to the OCP accompanied by the Notice of Suspension, Debarment, Disqualification or Voluntary Exclusion signed by the SDO. The SAM Memorandum should be sent to OCP after respondent(s) notification(s) about suspension, debarment, and disqualification decisions, or following the receipt of an administrative agreement or settlement agreement between the respondent and the SDO that includes a voluntary exclusion. (See FAR Subpart 9.4.)
- (5) Mission Area, Agency, and Staff Office S/D Personnel will:
- (a) In coordination with the OIG, where applicable, will review and confirm potential causes for suspension or debarment actions obtained from external sources (e.g., OIG, other Federal agencies, hotline complaints, media) or through internal operations (e.g., review of contractor performance), and report findings to the S/D Council Member and contracting officer; and
 - (b) Assist the contracting officer in any Mission Area, agency, or staff office procurement S/D-related issues.
- (6) Contracting Officers will:
- (a) Review exclusions in the GSA SAM Exclusions database after the opening of bids or receipt of proposals and immediately prior to award. Contractors listed in the GSA SAM Exclusions database will not receive awards and will have their bids or proposals rejected, unless the Agency Administrator decides otherwise in accordance with [FAR 9.405-1\(b\)](#) and [AGAR 409.405-1](#);
 - (b) Refer contractors that may not be presently responsible to the S/D Coordinator for lead agency coordination, where appropriate; and
 - (c) When recommending that the SDO initiate suspension or debarment actions, prepare the Procurement Referral Record and Referral Memorandum (see Appendix G), to establish an Administrative Record in consultation with the

S/D Council Member and the OGC if needed, and forward to the S/D Coordinator.

9. INQUIRIES

All USDA Mission Areas, agencies, and staff offices should direct questions and inquiries regarding this directive to OCFO, TARD via email to SM.OCFO.SD@usda.gov.

-END-

APPENDIX A

ACRONYMS AND ABBREVIATIONS

ACO	Administrative Contracting Officer
AGAR	Agriculture Acquisition Regulation
CCC	Commodity Credit Corporation
CFR	Code of Federal Regulations
CPARS	Contractor Performance Assessment Reporting System
DOJ	United States Department of Justice
DR	Departmental Regulation
DSIO	Departmental Scientific Integrity Officer
EO	Executive Order
EPLS	Excluded Parties List System
FAPIIS	Federal Awardee Performance and Integrity Information System
FAR	Federal Acquisition Regulation
FR	Federal Register
FSM	Forest Service Manual
FY	Fiscal Year
GSA	General Services Administration
ISDC	Interagency Suspension and Debarment Committee
NDAA	National Defense Authorization Act
OCFO	Office of the Chief Financial Officer
OCP	Office of Contracting and Procurement
OGC	Office of the General Counsel
OIG	Office of the Inspector General
OMB	Office of Management and Budget
P.L.	Public Law
POC	Point of Contact
RIO	Research Integrity Officer
S/D	Suspension and Debarment
SAM	System for Award Management
SDO	Suspension and Debarment Official
TARD	Transparency and Accountability Reporting Division
TCO	Termination Contracting Officer
U.S.C.	United States Code
UEI	Unique Entity Identifier
USDA	United States Department of Agriculture

APPENDIX B

DEFINITIONS

1. General – The following definitions are applicable to nonprocurement and procurement S/D actions:

- a. Agency. Unless preceded by “Federal,” “agency” will mean a Mission Area, agency, or staff office within USDA that administers procurement or nonprocurement programs or activities.
- b. Administrative Agreement. Also known as an administrative compliance agreement, refers to a document ordinarily negotiated after recipients respond to notices of suspension or proposed debarment. The election to enter into an administrative agreement is solely within the discretion of the Suspension and Debarment Official (SDO) and will only be used if the administrative agreement appropriately furthers the Government’s interest (see [2 CFR § 180.650](#)). While Administrative Agreements vary according to the SDO’s concerns regarding each respondent, they typically mandate the implementation of several provisions to improve the ethical culture and corporate governance processes of a respondent in a suspension or debarment proceeding. Administrative Agreements may also call for the use of independent third-party monitors or the removal of individuals associated with a violation from positions of responsibility within a company. Administrative Agreements and any subsequent modifications are entered into the [Federal Awardee Performance and Integrity Information System](#) (FAPIIS). Pursuant to [FAR 9.407-3\(e\)](#), if the contractor enters into an Administrative Agreement with the Government to resolve a suspension proceeding, the Suspending Official shall access the [Contractor Performance Assessment Reporting System](#) (CPARS) website, select FAPIIS and enter the requested information. The Suspending Official is responsible for the timely submission, within 3 working days, and accuracy of the documentation regarding the Administrative Agreement.
- c. Administrative Record. This is the official record of the S/D action and includes the following:
 - (1) All information in support of the debarring official’s proposed debarment;
 - (2) Any further information and argument presented in support of, or in opposition to, the proposed debarment; and
 - (3) Any transcribed record of fact-finding proceedings ([2 CFR § 180.840](#)). The SDO bases the decision to suspend or debar on the Administrative Record.

Pursuant to [FAR 9.406-3\(d\)](#) and [FAR 9.407-3\(d\)](#), the SDO’s decision in a procurement S/D action shall be based on the Administrative Record, including any submission made by the contractor, when the S/D action is based on an indictment, a conviction, or civil

judgment, and there is no genuine dispute over material facts, or when additional proceedings to determine disputed material facts have been denied. In case of a debarment action where no suspension is in effect, the decision shall be made within 30 working days after receipt of any information and argument submitted by the contractor, unless the debarring official extends this period for good cause.

Pursuant to [FAR 9.406-3\(d\)\(2\)](#) and [9.407-3\(d\)\(2\)](#), in procurement S/D actions in which additional proceedings are necessary as to disputed material facts, written findings of fact shall be prepared. The suspending official shall base the decision on the facts as found, together with any information and argument submitted by the contractor and any other information in the administrative record.

d. Conviction. (2 CFR § 180.920.)

- (1) A judgment or any other determination of guilt of a criminal offense by any court of competent jurisdiction, whether entered upon a verdict or plea, including a plea of nolo contendere; or
- (2) Any other resolution that is the functional equivalent of a judgment, including probation before judgment and deferred prosecution. A disposition without the participation of the court is the functional equivalent of a judgment only if it includes an admission of guilt.

e. Debarment. An action taken by a debarring official under: [FAR 9.406](#) and [AGAR 409.406](#) for procurement, or [2 CFR Part 180 Subpart H](#) and [2 CFR Part 417 Subpart H](#) for nonprocurement transactions, to exclude a person or entity from participating in covered transactions. ([2 CFR § 180.925](#).)

f. Declination. A Suspension and Debarment Official's (SDO) determination after receiving a referral that issuing a S/D notice is inappropriate. Placing a referral on hold in anticipation of additional evidence for future action is not a declination.

g. Exclusions. Records reflected in the GSA's SAM Exclusions database identify parties excluded by Federal Government agencies from receiving certain types of Federal financial and nonfinancial assistance and benefits, Federal contracts or federally approved subcontracts. The purpose of the database is to provide agencies with information about administrative and statutory exclusions taken throughout the Federal Government. Actions may be taken under 2 CFR Part 180, as adopted and supplemented in 2 CFR Part 417, and FAR Subpart 9.4 and AGAR Subpart 409.4 or other specific statutory authority. An exclusion type specifies why persons or entities are on the excluded parties list and communicates the associated ramifications.

The four Exclusion Types are:

- (1) Ineligible (Proceedings Pending) (Suspension, Blocked Pending Investigation, Proposed Debarment).

- (2) Ineligible (Proceedings Completed) (Debarment, Denial, Disqualified, Termination from Eligibility, Ineligible Conviction, Excluded).
- (3) Prohibition/Restriction (License or Approval Revoked; Sanctioned; Partial Denial).
- (4) Voluntary Exclusion (Voluntarily Excluded).

An extended definition of the Exclusion information can be found on the GSA website [SAM.gov](https://www.sam.gov).

- h. Indictment. Indictment means an indictment for a criminal offense. A presentment, information, or other filing by a competent authority charging a criminal offense shall be given the same effect as an indictment. (See [2 CFR § 180.955](#) and [FAR 9.403](#).) The FAR definition of indictment differs from the 2 CFR Part 180 definition in that it does not include the word presentment.
- i. Interagency Suspension and Debarment Committee (ISDC). The ISDC was established under EO 12549 and authorized by Section 873 under the *National Defense Authorization Act* [NDAA], 2009 ([P.L. 110-417](#)). It facilitates Federal lead agency coordination when more than one Federal agency has an interest in the suspension or debarment of a person or entity, serves as a forum to discuss current S/D related issues, and assists with developing unified Federal S/D policy. USDA is represented on the Committee by the Offices of the Chief Financial Officer, Contracting and Procurement, and Inspector General.
- j. Lead Agency Coordination. If more than one Federal agency has an interest in pursuing S/D actions against the same person or entity, the concerned Federal agencies agree upon a lead that initiates and takes responsibility for the action. Proposed suspension or debarment action information is disseminated Governmentwide through the ISDC.
- k. Plea Agreement. An order issued by a court or administrative tribunal of competent jurisdiction that prohibits a person from participating in covered transactions (as defined in [2 CFR § 180.210](#) and [2 CFR § 180.970](#)). The SDO must make an independent determination to debar a person based on a plea agreement prior to submitting a SAM memorandum to OCFO (nonprocurement) or prior to OCP entering the debarred contractor's information in the GSA SAM Exclusions database (procurement).
- l. Nonprocurement and Procurement Referral Record Memorandum. A formal written memorandum to initiate a suspension or debarment action prepared in accordance with USDA procedures and guidelines, supported by documentary evidence, presented to the SDO by the Office of the Inspector General (OIG), a Program Manager, Contracting Officer, or other appropriate agency S/D personnel after receipt, investigation and verification of information about a potential cause for issuance of a notice of suspension or notice of proposed debarment as appropriate under 2 CFR Part 180 and 48 CFR Subpart 9.4. (See Appendices E and G of this DR).

- m. Referral Record. The supporting documentation accompanying a referral submitted to a SDO that is used by the SDO to establish the Administrative Record to determine whether initiation of a suspension or debarment action is warranted. (See Appendices E and G).
- n. Show Cause/Pre-Notice Investigative Letters. A communication method used to inform respondents that USDA's S/D program is reviewing matters for potential SDO action, identifies the assertion of misconduct or serious poor performance, and gives respondents an opportunity to respond prior to formal SDO action. This is a discretionary tool employed, where appropriate, to the circumstances of the matter under consideration.
- o. S/D Council. An USDA working group comprised of appointed USDA Mission Area, agency and staff office representatives designated by the Under Secretaries and at a level no lower than Mission Area, Agency, or Staff Office Deputy Administrator for Management or staff office equivalent which coordinates USDA's efforts to ensure effective implementation of S/D procedures in collaboration with the USDA OCFO TARD to comply with Governmentwide S/D regulations.
- p. S/D Council Member. A Mission Area Under Secretary or staff office designate and appointed personnel at a level no lower than agency Deputy Administrator for Management or staff office equivalent. Council Members will have the authority to represent and obtain assistance from their respective Mission Areas, agencies or staff offices to implement USDA's S/D procedures including data-mining efforts, referrals of possible causes identified, outcomes of S/D referrals, and actions taken to address outstanding issues. S/D Council Members will promote the requirements and purpose of the Governmentwide S/D regulations and direct their respective Mission Areas, agencies or staff offices to reevaluate S/D processes, as necessary, to support efficient stewardship of Federal funds. Council Members will ensure that Departmental guidance to implement Governmentwide and USDA S/D regulatory requirements are met and will report Mission Area, agency, or staff office S/D activity at quarterly meetings held by the OCFO.
- q. Suspension. An action taken by a suspending official under (2 CFR § 180.1015.):
 - (1) [FAR 9.407](#) and [AGAR 409.407](#) for procurement transactions, or
 - (2) [2 CFR Part 180 Subpart G](#) and [2 CFR Part 417 Subpart G](#) for nonprocurement transactions, that immediately prohibits an individual or entity from participating in covered transactions for a temporary period, pending completion of further proceedings.

2. Nonprocurement – The following definitions are applicable to nonprocurement S/D actions:

- a. S/D Personnel. Mission Area, agency, or staff office personnel assigned nonprocurement collateral S/D duties, which include reviewing and confirming potential causes for suspension or debarment actions. These individuals are not necessarily full-time program staff but may be Mission Area, agency, or staff office employees assigned to support Program Managers regarding program S/D issues.
- b. Covered Transaction. A nonprocurement or procurement transaction that is subject to the prohibitions of 2 CFR Parts 180, 417. A suspended or debarred person or entity is precluded from participating in covered transactions. (See [2 CFR Part 180 Subpart B](#) and [2 CFR Part 417 Subpart B](#).)
- c. Financial Assistance/Benefit. Includes, but is not limited to, grants (formula and project), direct payments, subsidies, payments for specified uses, loans, loan guarantees, insurance, and cooperative agreements.
- d. Nonfinancial Assistance/Benefit. Includes, but is not limited to, the sale, exchange, or donation of property and goods; the use of property, facilities, and equipment; provision of specialized services, advisory services, and counseling; dissemination of technical information; training; and investigation of complaints.
- e. Nonprocurement Transaction. As set forth in [2 CFR §§ 180.210, 180.970, and 417.970](#).
- f. Not Covered Transaction. Nonprocurement transactions listed in [2 CFR § 180.215](#) and [2 CFR § 417.215](#), or [2 CFR § 180.220](#) and [2 CFR § 417.220](#). An individual or entity that participates in a nonprocurement transaction that is not a covered transaction is not exempt from all S/D procedures. If such an individual or entity engages in activity that would be a cause for suspension or debarment under 2 CFR § 180.700 or 2 CFR § 180.800 (as supplemented by 2 CFR Part 417) that individual or entity may continue to receive benefits under the transaction, but also may be referred by the Mission Area, agency, or staff office for suspension or debarment to protect the Federal Government.
- g. Person. Person means any individual, corporation, partnership, association, unit of government, or legal entity, however organized. ([2 CFR § 180.985](#).)
- h. Program. Any function of a Federal agency that provides domestic and/or international financial or nonfinancial assistance or benefits to anyone other than an agency of the Federal Government. A program may in practice be called an activity, a service, a project, a process, or some other name regardless of whether it is identified as a separate program by statute or regulation. A program will be identified in terms of its legal authority, administering office, funding, purpose, benefits, and beneficiaries.
- i. Program Manager. The individual responsible for managing nonprocurement S/D activities for the Mission Area's, agency's, or staff office's program(s).

- j. Respondent. A person against whom an agency has initiated a debarment or suspension action. ([2 CFR § 180.1000](#).)
 - k. SAM Memorandum (Nonprocurement). The memorandum sent by the nonprocurement S/D Coordinator to the OCFO that contains excluded individual or entity information for entry into the GSA SAM Exclusions database. The Nonprocurement SAM Memorandum only applies to nonprocurement S/D procedures. (See Appendix F).
 - l. S/D Coordinator. Mission Area, agency, or staff office liaison between the Office of the Chief Financial Officer (OCFO), Mission Area, agency, or staff office SDOs, Council Members, Program Managers, and other dedicated S/D personnel.
 - m. S/D Official (SDO). An agency official who is authorized to impose S/D actions. Pursuant to [2 CFR §§ 180.930, 180.1010, 417.930, and 417.1010](#), the nonprocurement SDO is the Agency Administrator. This authority may not be redelegated, except in the case of the Forest Service where the Chief has redelegated the authority to act as SDOs to the Deputy Chief and Associate Deputy Chiefs for the National Forest System. (See also [Forest Service Manual \(FSM\)](#), §§ 1235.1, 1235.42, and 1235.51, effective August 18, 2020).
 - n. Additional definitions pertaining to nonprocurement transactions may be found in [2 CFR Part 180 Subpart I](#) and [2 CFR Part 417 Subpart I](#).
3. Procurement – The following definitions are applicable to procurement S/D actions:
- a. S/D Personnel. Mission Area, agency, or staff office personnel assigned procurement S/D duties, which include reviewing potential causes for suspension or debarment and assisting the Contracting Officer regarding S/D issues.
 - b. Contract. Contract means a mutually binding legal relationship obligating the seller to furnish the supplies or services (including construction) and the buyer to pay for them. It includes all types of commitments that obligate the Government to an expenditure of appropriated funds and that, except as otherwise authorized, are in writing. In addition to bilateral instruments, contracts include (but are not limited to) awards and notices of awards; job orders or task letters issued under basic ordering agreements; letter contracts; orders, such as purchase orders, under which the contract becomes effective by written acceptance or performance; and bilateral contract modifications. Contracts do not include grants and cooperative agreements as described in [31 U.S.C. §§ 6304 and 6305](#). For discussion of various types of contracts, see [FAR Part 16](#). ([FAR § 2.101](#).)
 - c. Contracting Officer. An agency representative, as set forth in [FAR § 2.101](#).
 - (1) Contracting Officer. (FAR § 2.101) A person with the authority to enter into, administer, and/or terminate contracts and make related determinations and findings. The term includes certain authorized representatives of the contracting officer acting within the limits of their authority as delegated by the contracting

officer. “Administrative contracting officer (ACO)” refers to a contracting officer who is administering contracts. “Termination contracting officer (TCO)” refers to a contracting officer who is settling terminated contracts. A single contracting officer may be responsible for duties in any or all of these areas. Reference in this regulation ([48 CFR Chapter 1](#)) to administrative contracting officer or termination contracting officer does not:

- (a) Require that a duty be performed at a particular office or activity; or
- (b) Restrict in any way a contracting officer in the performance of any duty properly assigned.

(2) Contracting Officer [Authority]. ([FAR § 1602.1](#))

- (a) Contracting officers have authority to enter into, administer, or terminate contracts and make related determinations and findings. Contracting officers may bind the Government only to the extent of the authority delegated to them. Contracting officers shall receive from the appointing authority (see [FAR § 1.603-1](#)) clear instructions in writing regarding the limits of their authority. Information on the limits of the contracting officers’ authority shall be readily available to the public and agency personnel.
- (b) No contract shall be entered into unless the contracting officer ensures that all requirements of law, executive orders, regulations, and all other applicable procedures, including clearances and approvals, have been met.

d. Contractor. Contractor means any individual or other legal entity that:

- (1) Directly or indirectly (e.g., through an affiliate) submits offers for or is awarded, or reasonably may be expected to submit offers for or be awarded, a Government contract, including a contract for carriage under Government or commercial bills of lading, or a subcontract under a Government contract; or
- (2) Conducts business, or reasonably may be expected to conduct business, with the Government as an agent or representative of another contractor. ([FAR § 9.403.](#))
- (3) FAR means the *Federal Acquisition Regulation*, as codified in Title 48 of the Code of Federal Regulations (CFR).

e. Mission Area Senior Contracting Official.

- (1) The official designated by the Senior Procurement Executive or Head of the Contracting Activity with specific responsibilities within an individual Mission Area’s contracting activity.

- f. Procurement. Acquisition means the acquiring by contract with appropriated funds of supplies or services (including construction) by and for the use of the Federal Government through purchase or lease, whether the supplies or services are already in existence or must be created, developed, demonstrated, and evaluated. Acquisition begins at the point when agency needs are established and includes the description of requirements to satisfy agency needs, solicitation and selection of sources, award of contracts, contract financing, contract performance, contract administration, and those technical and management functions directly related to the process of fulfilling agency needs by contract. (FAR § 2.101.)
- g. S/D Coordinator. Mission Area, agency, or staff office liaison between the Office of Contracting and Procurement (OCP) and the contracting officers and Mission Area, agency, or staff office S/D personnel.
- h. S/D Official (SDO). The Director of OCP, who is also the Senior Procurement Executive, pursuant to [7 CFR § 2.93](#) and [AGAR 409.403](#). Exceptions:
 - (1) For commodity contracts awarded on behalf of the Commodity Credit Corporation (CCC), the Executive Vice President, CCC, or their designee is the debarring official; and
 - (2) For contracts awarded under the USDA Foods and Surplus Removal Programs ([42 U.S.C. § 1755](#) and [7 U.S.C. § 612c](#)), the Department's SDO has delegated debarring authority to the Agricultural Marketing Service.
- i. Additional definitions for procurement transactions may be found in FAR §§ 2.101 and 9.403.

APPENDIX C

AUTHORITIES AND REFERENCES

[2 CFR Part 180](#), *OMB Guidelines to Agencies on Governmentwide Debarment and Suspension (Nonprocurement)*

[2 CFR § 180.45](#), *Do these guidelines cover persons who are disqualified, as well as those who are excluded from nonprocurement transactions?*

[2 CFR Part 180 Subpart B](#), *Covered transactions*

[2 CFR § 180.200\(a\)](#), *What is a covered transaction?*

[2 CFR § 180.200\(b\)](#), *What is a covered transaction?*

[2 CFR § 180.210](#), *Which nonprocurement transactions are covered transactions?*

[2 CFR § 180.215](#), *Which nonprocurement transactions are not covered transactions?*

[2 CFR § 180.220](#), *Are any procurement contracts included as covered transactions?*

[2 CFR § 180.425](#), *When do I check to see if a person is excluded or disqualified?*

[2 CFR Part 180 Subpart E](#), *System for Award Management Exclusions*

[2 CFR § 180.515](#), *What specific information is in SAM Exclusions?*

[2 CFR § 180.515\(a\)](#), *What specific information is in SAM Exclusions?*

[2 CFR § 180.520](#), *Who places the information into SAM Exclusions?*

[2 CFR § 180.650](#), *May an administrative agreement be the result of a settlement?*

[2 CFR Part 180 Subpart G](#), *Suspension*

[2 CFR § 180.700](#), *When may the suspending official issue a suspension?*

[2 CFR § 180.715](#), *What notice does the suspending official give me if I am suspended?*

[2 CFR Part 180 Subpart H](#), *Debarment*

[2 CFR § 180.800](#), *What are the causes for debarment?*

[2 CFR § 180.805](#), *What notice does the debarring official give me if I am proposed for debarment?*

[2 CFR § 180.840](#), *How is fact-finding conducted?*

[2 CFR § 180.845](#), *What does the debarring official consider in deciding whether to debar me?*

[2 CFR Part 180 Subpart I](#), *Definitions*

[2 CFR § 180.920](#), *Conviction*

[2 CFR § 180.925](#), *Debarment*

[2 CFR § 180.930](#), *Debarring official*

[2 CFR § 180.935](#), *Disqualified*

[2 CFR § 180.955](#), *Indictment*

[2 CFR § 180.970](#), *Nonprocurement transaction*

[2 CFR § 180.985](#), *Person*

[2 CFR § 180.1000](#), *Respondent*

[2 CFR § 180.1010](#), *Suspending official*

[2 CFR § 180.1015](#), *Suspension*

[2 CFR § 180.1020](#), *Voluntary exclusion or voluntarily excluded*

[2 CFR Part 200](#), *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*

[2 CFR Part 417](#), *Nonprocurement Debarment and Suspension (USDA Supplement to 2 CFR Part 180)*

[2 CFR Part 417 Subpart B](#), *Covered Transactions*

[2 CFR § 417.215](#), *Which nonprocurement transactions, in addition to those listed in 2 CFR 180.215, are not covered transactions?*

[2 CFR § 417.220](#), *Are any procurement contracts included as covered transactions?*

[2 CFR Part 417 Subpart E](#), *System for Award Management Exclusions*

[2 CFR § 417.515](#), *What specific information is in SAM Exclusions?*

[2 CFR § 417.520](#), *Who places the information into SAM Exclusions?*

[2 CFR Part 417 Subpart G](#), *Suspension*

[2 CFR Part 417 Subpart H](#), *Debarment*

[2 CFR § 417.800](#), *What are the USDA causes for debarment?*

[2 CFR § 417.865](#), *How long may my debarment last?*

[2 CFR Part 417 Subpart I](#), *Definitions*

[2 CFR § 417.930](#), *Debarring official (USDA supplement to Governmentwide definition at 2 CFR 180.930)*

[2 CFR § 417.935](#), *Disqualified (USDA supplement to Governmentwide definition at 2 CFR 180.935)*

[2 CFR § 417.970](#), *Nonprocurement transaction*

[2 CFR § 417.1010](#), *Suspending official (USDA supplement to Governmentwide definition at 2 CFR 180.1010)*

[7 CFR § 2.93](#), *Director, Office of Contracting and Procurement*

[48 CFR](#), *Federal Acquisition Regulations System*

[48 CFR Chapter 1](#), *Federal Acquisition Regulation*

[FAR § 1.602-1](#), *Authority*

[FAR § 1.603-1](#), *General*

[FAR § 2.101](#), *Definitions*

[FAR Subpart 9.4](#), *Debarment, Suspension, and Ineligibility (Governmentwide procurement S/D regulation)*

[FAR § 9.402](#), *Policy*

[FAR § 9.403](#), *Definitions*

[FAR § 9.404](#), *Exclusions in the System for Award Management*

[FAR § 9.405-1\(b\)](#), *Continuation of current contracts – Ineligible Contactors*

[FAR § 9.406](#), *Debarment*

[FAR § 9.406-2](#), *Causes for debarment*

[FAR § 9.406-3](#), *Procedures*

[FAR § 9.406-4](#), *Period of debarment*

[FAR § 9.407](#), *Suspension*

[FAR § 9.407-2](#), *Causes for suspension*

[FAR § 9.407-3, Procedures](#)
[FAR § 9.407-3\(d\)\(1\)\(2\), Procedures](#)
[FAR § 9.407-3\(e\)\(1\)\(2\), Procedures](#)
[FAR § 9.407-4, Period of suspension](#)
[FAR Part 16, Types of Contracts](#)

[48 CFR § 52.203-13, Contractor Code of Business Ethics and Conduct](#)

[7 U.S.C. § 612c, Appropriation to encourage exportation and domestic consumption of agricultural products](#)

[7 U.S.C. § 2021, Civil Penalties and Disqualification of Retail Food Stores and Wholesale Food Concern](#)

[16 U.S.C. § 620d, Monitoring and enforcement](#)

[16 U.S.C. § 620-620j, Findings and purposes](#)

[31 U.S.C. § 6101, Definitions](#)

[31 U.S.C. § 6304, Using grant agreements](#)

[31 U.S.C. § 6305, Using cooperative agreements](#)

[42 U.S.C. § 1755, Direct expenditures for agricultural commodities and other foods](#)

[Agriculture Acquisition Regulation \(AGAR\)](#)

[AGAR Subpart 409.4, Debarment, Suspension, and Ineligibility.](#) (USDA Supplement to 48 CFR Subpart 9.4)

[AGAR 409.403, Improper Business Practices and Personal Conflicts of Interest](#)

[AGAR 409.405-1, Continuation of current contracts](#)

[AGAR 409.406, Competition Requirements](#)

[AGAR 409.407, Acquisition Planning](#)

Consolidated Appropriations Act, 2020, [P.L. 116-93](#), §§ 744, 745, December 20, 2019, [and successor provisions in subsequent appropriation acts](#)

[Contractor Performance Assessment Reporting System \(CPARS\)](#) website

[EO 12549, Debarment and Suspension](#), February 18, 1986 (Established a Governmentwide system of nonprocurement S/D and created the ISDC)

[EO 12689, Debarment and Suspension](#), August 16, 1989 (see Federal Register Vol. 54, No. 159, pages 34131-34132). (Details the scope of the procurement S/D program and calls for reciprocity between the procurement and nonprocurement S/D programs)

[Federal Awardee Performance and Integrity Information System \(FAPIIS\)](#)

GSA, *[Excluded Parties List System \(EPLS\)](#)* website

GSA, *[SAM.gov](#)* website

[Interagency Suspension and Debarment Committee \(ISDC\)](#) website

National Defense Authorization Act [NDAA] of 2009, [P.L. No. 110-417](#), October 14, 2008

Presidential Memorandum, *Ensuring Responsible Spending of Recovery Act Funds*, [74 Federal Register \(FR\) 12531](#), March 20, 2009

Privacy Act of 1974, [5 U.S.C. 552a](#), December 31, 1974, as amended

Section 14211 of the *Food Conservation and Energy Act of 2008*, [P.L. No. 110-246](#), June 18, 2008, codified at [7 U.S.C. § 2209j](#), *Permanent Debarment from Participation in Department of Agriculture Programs for Fraud*

USDA, *[AgLearn](#)* website

USDA, [DR 1700-002](#), *OIG Organization and Procedures*, June 17, 1997

USDA, Forest Service, *[Forest Service Manual \(FSM\)](#)*, effective August 18, 2020

FSM 1235.1, *Reservations of Authority by Chief*

FSM 1235.42, *Deputy Chief for National Forest System*

FSM 1235.51, *Associate Deputy Chiefs for National Forest System*

USDA, *[OIG Suspension and Debarment \(S&D\) Quarterly Reporting](#)*

APPENDIX D

TEMPLATE: NONPROCUREMENT SAM MEMORANDUM

(This memorandum example should be used to submit GSA SAM Exclusion data/requests.)

TO: Office of the Chief Financial Officer
Transparency and Accountability Reporting Division

ATTN: SAM Coordinator

FROM: S/D Coordinator
USDA Agency

DATE:

SUBJECT: Exclusion of Individual/Entity

The following individuals/entities are excluded. The pertinent information required by [2 CFR § 180.515\(a\)](#), in conjunction with an OGC review, is as follows:

Classification: Individual or Entity

UEI: Enter a Unique Entity Identifier (UEI) when the classification is an entity.
Leave blank if entity is exempt from the UEI requirement.

Name and Address: Complete name and address of individual or entity, with cross references
if multiple individuals or entities are involved in a single action.

Active Date: The effective active date of the exclusion.

Termination Date: The effective termination date of the exclusion.

(If permanent check here: ☐; provide statutory authority here: ☐.

Exclusion Type: ☐ Suspension
☐ Debarment
☐ Voluntary Exclusion
☐ Disqualification

*Note: An explanation of the four exclusion types can be found on GSA's SAM.gov website;
see Exclusions Information under the Help Section.*

*Note: See also 2 CFR §§ 180.700, 180.800, 417.800, 180.1020, 180.935, 417.935, 180.715,
180.805, 180.520, 417.520, 180.515, 417.515.*

OGC Review: Indicate if OGC reviewed the Exclusion Notice

Yes ☐ No ☐

(Attorney Name/Division)

Description: Description or explanation of the cause for the exclusion,
(Optional) which will be included in the SAM listing.

Please add the referenced information regarding the individuals or entities into the GSA SAM S/D Exclusions database. If you have any questions regarding this action, please contact Mission Area, Agency, or Staff Office POC at contact information.

Attachment: Notice of Exclusion (i.e., Suspension, Debarment, Disqualification, or Voluntary Exclusion (and requisite Administrative/Settlement Agreement) signed by the S/D Official.

APPENDIX E

TEMPLATE: NONPROCUREMENT REFERRAL RECORD AND REFERRAL RECORD MEMORANDUM

A comprehensive referral record is essential for the S/D Official to create the administrative record that will be used as the basis for making a suspension or debarment decision.

Assemble the referral record in reverse chronological order, with the most current information first. Include an index of the documents as ordered in the record. The referral record includes, but is not limited to:

1. The name and address of the respondent(s) against whom the action is being proposed or taken;
2. The reason(s) and specific cause(s) for proposing debarment (as set forth in 2 CFR §§ 180.800 and 417.800), and if suspension is recommended (2 CFR § 180.700), an explanation of why immediate action is needed to protect the public interest;
3. An Executive Summary that consists of:
 - a. A brief history and background of events and the specific acts that gave rise to the referral record, including citations of USDA regulations at issue; and
 - b. A short narrative describing any other evidence supporting the reason(s) for the need to debar or suspend;
4. The recommended period for the suspension or debarment, including the rationale for the period recommended;
5. Mitigating and/or aggravating factors that may affect the decision to suspend or debar;
6. Copies of any relevant supporting documentation, including, but not limited to:
 - a. Detailed evidence of specific causes warranting a suspension or debarment;
 - b. Lists of affiliates and evidence documenting the affiliation;
 - c. Correspondence showing delegation of authority to an affiliate;
 - d. Business records of the respondent such as copies of any articles of incorporation, loan, or grant agreements, by-laws, or partnership agreements;
 - e. Borrower or grantee complaint letters to respondents and their responses;

- f. Relevant facts showing the respondent's present responsibility with respect to future dealings with the Government;
- g. Inspection or review reports documenting deficient or exemplary performance;
- h. All other relevant correspondence at the primary or lower tier of covered transactions which establishes a relationship between the respondent and the Government and/or the transfer of Federal funds, including, if applicable, correspondence documenting deficient or exemplary performance;
- i. Copies of any criminal indictments (including superseding indictments), civil complaints, verdict forms, judgments, pretrial diversion agreements, plea agreements, settlement agreements, and/or violation notices;
- j. Copies of law enforcement investigative reports (such reports may be redacted, in coordination with OIG, OGC and/or investigative agency to protect privileged material); and
- k. Documentation to justify lapses in timeliness in the referral or processing of a case. If the referral is more than 3 years after the alleged wrongdoing, explanatory documentation must be provided indicating the reason(s) for the delay, a current responsibility determination, and the continued need for the suspension or debarment action.

APPENDIX F

TEMPLATE: PROCUREMENT SAM MEMORANDUM

(This memorandum example should be used when submitting GSA SAM Exclusion data/requests.)

TO: USDA Procurement S/D Official
Office of Contracting and Procurement

FROM: Contracting Officer
USDA Mission, Area, Agency, Staff Office

DATE:

SUBJECT: Proposed Suspension or Debarment of Contractor

Pursuant to FAR §§ 9.407-2 or 9.406-2, the following contractor is proposed for debarment or suspension:

Classification: Individual or Entity

UEI: Enter a Unique Entity Identifier (UEI) when the classification is an entity. Leave blank if entity is exempt from the UEI requirement.

Name and Address: Complete name and address of contractor

Action (check one): ☐ Suspension
☐ Debarment

Action Date: The effective date of the exclusion.

Termination Date: The termination date of the exclusion.

Note: See also FAR §§ 9.407-4, (period of suspension); 9.406-4 (period of debarment); 9.404 (exclusions on GSA's SAM.gov website).

Attached is all pertinent information and supporting documentation. If you have any questions regarding this action, please contact the Mission Area, agency, or staff office POC(s).

APPENDIX G

TEMPLATE: PROCUREMENT REFERRAL RECORD AND REFERRAL RECORD MEMORANDUM

1. Pertinent information includes, but is not limited to:
 - a. The reason(s) and specific causes for proposing debarment, or if suspension is recommended, why immediate action is needed to protect the public interest;
 - b. A short narrative stating the facts and/or describing other evidence supporting the reason(s) for the need to debar, and if appropriate, the need to suspend;
 - c. The recommended period for the debarment, including the rationale for the period recommended; and
 - d. Mitigating and/or aggravating factors that may affect the decision to suspend or debar.
2. Supporting documentation may include, but is not limited to, the following:
 - a. Detailed evidence of specific cause(s) warranting a suspension or debarment;
 - b. Lists of affiliates and evidence documenting the affiliation;
 - c. Correspondence showing delegation of authority to an affiliate;
 - d. Business records, including, but not limited to, articles of incorporation, statement of officers, loan agreements, by-laws or partnership agreements;
 - e. Agency letters to the respondents and their responses;
 - f. Borrower complaint letters to respondents and their responses;
 - g. Relevant facts showing the respondent's present responsibility with respect to future dealings with the Government;
 - h. Inspection or review reports documenting deficient or exemplary performance;
 - i. Contract signature pages, if cause is based on a conviction or civil judgment; otherwise, include pertinent portions of the contract;
 - j. If failure to make payments or to make timely payments is cited as a cause, include copies of unpaid bills, late payments, demand letters, and a summary of the status of payments including the most recent statement of account and synopsis;

- k. The contracting officer's decision on such items as default or contract termination. Include any claims submitted by the purchaser;
- l. Copies of any criminal indictments (including superseding indictments), civil complaints, verdict forms, judgments, pretrial diversion agreements, plea agreements, settlement agreements, and/or violation notices;
- m. Copies of law enforcement investigative reports (such reports may be redacted, in coordination with OGC or investigative agency to protect privileged material);
- n. Copies of declarations by sale administration or law enforcement personnel, if applicable; and
- o. Inspections or certifications, if applicable.

APPENDIX H

TEMPLATE: MISSION AREA, AGENCY, STAFF OFFICE S/D TRAINING CERTIFICATE OF COMPLETION

Note: This memorandum example should be used when submitting certificate of training data.

TO: Director
Transparency and Accountability Reporting Division
Office of the Chief Financial Officer

FROM: S/D Official
USDA Agency

DATE:

SUBJECT: Certification of S/D Training Completion

This certifies that all S/D Coordinators, Program Managers, and other designated Mission Area, agency or staff office S/D personnel have taken and completed the required S/D training in AgLearn. If you have any questions, please contact the Mission Area, agency, or staff office POC(s).